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China - Modernizing the monetary policy framework

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Executive Summary

The **path to modernizing China's monetary policy framework has reached an important point.** The announcement by PBoC Governor Pan Gongsheng in June, introducing overnight reverse repo operations and stating the intent to narrow the interest-rate corridor, is a key step in this journey. **What is the ultimate destination, and what else does the PBoC need to do to get there?**

China currently operates a **hybrid monetary-policy framework** in which both policy rates and monetary/credit aggregates play important roles. The objective is ultimately to move away from a framework where monetary/credit aggregates serve as intermediate policy targets toward one where policy rates increasingly serve as the primary policy signal, with liquidity-management tools continuing to support policy implementation and transmission.

Key takeaways:

— Over the past decade, China's monetary policy framework has evolved toward greater use of price-based tools, although quantitative measures continue to play an important role.

— The objective is for policy rates to play a larger role in signaling the monetary stance, while liquidity-management and structural tools help with policy implementation.

— Key reform priorities include strengthening policy expectations, reinforcing the interest-rate corridor, deepening bond-market liquidity, improving credit transmission and increasing exchange rate flexibility.

— Improving the monetary policy framework alone may not be enough. Achieving more effective economic management will also require supportive fiscal policies, better coordination across policymakers and timely measures to stabilize growth.

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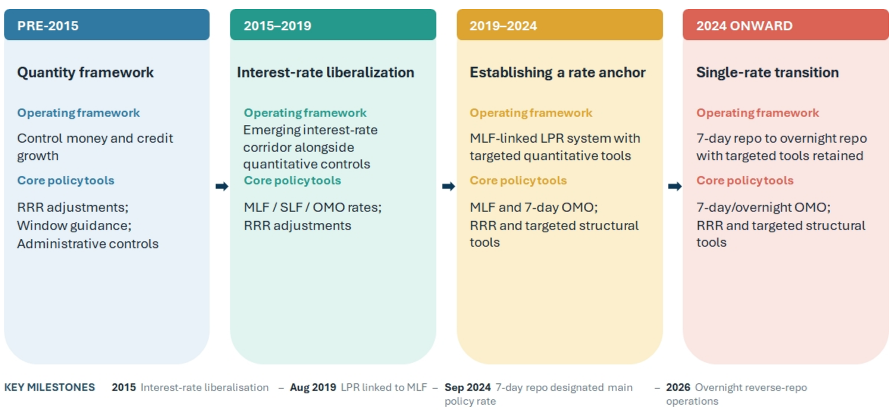
A decade of monetary policy modernization

Over the past decade, China has undertaken one of the most important monetary policy framework reforms among major economies. As interest-rate liberalization progressed, financial markets deepened and the economy became more complex, a framework centered mainly on quantitative controls became less effective. Policymakers therefore began shifting toward a more market-based system in which prices, rather than administrative controls, play a larger role in transmitting monetary policy.

Figure 1: China has gradually strengthened its price-based monetary policy framework over the past decade

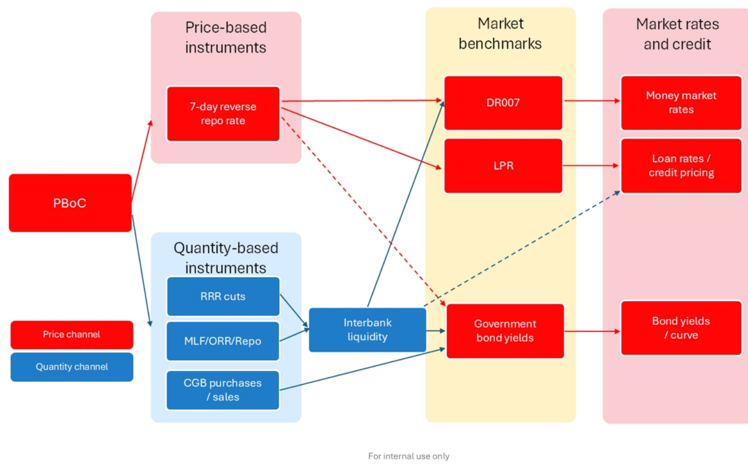


Source :Deutsche Bank Research

China's framework today looks much more interest-rate-based than it did a decade ago. Benchmark lending and deposit rates have largely been liberalized, the Loan Prime Rate has become a more important reference for bank lending rates, and the 7-day reverse repo rate now serves as the primary policy rate. At the same time, **this remains a hybrid system**. Today, the PBoC's policy toolkit can be broadly divided into four categories:

- **Policy rate**: the 7-day reverse repo rate serves as the primary policy rate and anchors short-term money-market rates.
- **Short- to medium-term liquidity tools**: Reverse repos, outright reverse repos (ORR), and the Medium-Term Lending Facility (MLF), which influence interbank liquidity conditions and bank funding costs.
- **Long-term liquidity tools**: Reserve requirement ratio (RRR) adjustments and outright purchases or sales of government bonds, which affect the structural liquidity position of the banking system.
- **Structural monetary policy tools**: Relending, rediscounting and other targeted facilities designed to channel credit towards strategic sectors and policy priorities (see Appendix B for the full list of liquidity tools).

Figure 2: China's monetary framework remains a hybrid system in transition



Source : Deutsche Bank Research

Some of the key building blocks of a modern interest-rate framework are now in place, with the 7-day reverse repo rate serving as the primary policy anchor and market-based interest rates playing a larger role in policy implementation than in the past. **The objective of China's monetary policy modernization is not the elimination of quantitative or structural tools, but the establishment of interest rates as the primary mechanism through which monetary policy influences financial conditions and economic activity.**

Figure 3: China's monetary policy differs from that of DMs more in objectives and implementation than tools

Dimension	PBoC	Fed	ECB	BoE	BoK
Primary objective	Price stability, growth support, credit conditions and financial stability all play important roles.	Inflation and employment	Price stability	Price stability with support for growth/employment	Price stability
Policy toolkit	Policy rate and liquidity operations	Policy rate and balance sheet	Policy rate and balance sheet	Policy rate and balance sheet	Policy rate and liquidity operations
No. of annual public communication	Quarterly monetary policy reports and occasional official speeches	Minutes and votes published, over 400 official speeches per year	Meeting accounts published, over 400 official speeches per year	Minutes and vote splits published, over 100 official speeches per year	Minutes and voting records published, ~10 official speeches per year
Communication style	Flexibility-focused. Quarterly reports and qualitative guidance	Highly transparent and forecast-driven	Rules and forecast-based	Forecast and minutes-driven	Relatively transparent by Asian standards
Forecast publication	Limited forecast disclosure	SEP projections	Staff forecasts	Detailed MPR forecasts	Growth and inflation forecasts
FX consideration	Exchange-rate stability remains an important consideration	Little direct role	Limited	Limited	Important but secondary

Source :Deutsche Bank Research; Note: Though financial stability is an important consideration for all central banks, it is not treated as a primary objective here due to the lack of an explicit and measurable target

Against this backdrop, an important question is whether the modernization of the monetary-policy framework has translated into stronger policy transmission. While there are signs of progress, the evidence remains mixed. Since January 2022, three of the seven policy rate cuts have been followed by a meaningful decline in lending rates within the subsequent month.

As a result, the next phase of monetary policy modernization is likely to focus on strengthening the channels through which policy rates influence financial markets and economic activity. This suggests that future reforms are likely to center on areas such as expectations formation, financial-market depth, interest-rate pass-through and the broader role of market signals within the monetary policy framework.

The next chapter of monetary policy modernization

What is China's likely destination?

The evidence above suggests that China's monetary-policy framework has entered a new phase of development. The key question for the next stage we believe is therefore not whether China will reduce its reliance on liquidity-management tools, but whether policy rates will increasingly displace monetary and credit aggregates as the primary guide for monetary-policy implementation and transmission. We believe the answer is yes. Over the past decade, policymakers have established many of the key building blocks of a more market-based framework, including a clearer policy-rate structure, greater reliance on market pricing and a reduced emphasis on monetary aggregates. As a result, the next phase of reform is likely to focus less on creating new instruments and more on strengthening the channels through which policy signals affect financial markets and economic activity.

Importantly, this does not imply convergence towards a conventional developed-market model. Structural and quantitative tools are likely to remain part of the framework, while financial stability, exchange-rate stability and development objectives will continue to influence policy decisions. Rather, modernization is likely to involve gradually increasing the role of interest rates as the primary mechanism through which monetary policy influences financial conditions, while improving the effectiveness of policy transmission within China's broader policy framework.

Moreover, China's evolving macroeconomic environment may reinforce the need for quantity-based and structural policy tools. As policy rates remain structurally lower amid accommodative policy stances, China may increasingly face constraints similar to those experienced by other major economies near the effective lower bound. In such an environment, conventional interest-rate adjustments may become less powerful, increasing the importance of balance-sheet policies, liquidity facilities and targeted credit-support measures. Rather than disappearing, quantity-based tools may therefore become a permanent complement to interest-rate policy, much as they have in many developed economies since the Global Financial Crisis.

Priorities for the next phase of monetary policy modernization

Simplifying policy objectives to strengthen market expectations. As China's monetary policy framework continues to evolve, policy communication and market expectations are likely to play an increasingly important role in shaping financial conditions. Modern monetary policy increasingly operates through expectations of future policy settings rather than current policy rates alone and the central of that is a clear set of policy objectives by the central bank. In China, the PBoC operates under a broad set of objectives, including growth, price stability, financial stability, exchange-rate stability and broader development goals, providing policymakers with flexibility. Continued development of the framework and clear communication of policy intentions could further support the role of expectations in financial markets.

Greater clarity around policy objectives would strengthen the expectations channel. This would not require adopting a formal inflation-targeting regime or a Fed-style dual mandate. A more pragmatic approach could be to streamline the PBoC’s mandate around three primary objectives. While the relative emphasis differs across jurisdictions, most major central banks operate with a similar set of objectives including inflation, growth or employment as well as financial stability.

Aligning the PBoC's mandate more explicitly around these objectives could improve policy transparency without requiring a wholesale adoption of a Western monetary-policy framework. A more focused mandate, supported by clear and consistent communication, would make the PBoC’s reaction function easier for markets to interpret and enhance the signaling power of policy-rate changes.

Strengthening the corridor to improve short-term transmission. A second priority is improving the operating framework itself. China has made considerable progress in establishing the 7-day reverse repo rate as the primary policy rate, while Governor Pan has also signaled a possible future transition towards a more overnight-rate-based framework. At the same time, the interest-rate corridor continues to evolve as policymakers refine the monetary-policy operating framework. Although temporary repo and reverse repo operations were introduced in 2024 and reformed in 2026, they have not yet become a significant part of day-to-day operations. As a result, their role in guiding money-market conditions and supporting policy implementation will remain an area of interest for market participants.

In the United States, market rates such as SOFR generally trade close to policy rates within a well-established floor system. By contrast, China's corridor remains more of an evolving guide than a tightly binding operating framework. Future reforms are therefore likely to focus on narrowing the corridor, strengthening overnight liquidity operations and improving the predictability of short-term liquidity management.

A further area of development is the broader financial-stability architecture underpinning monetary operations. Recent discussions around emergency liquidity facilities for non-bank financial institutions suggest policymakers increasingly recognize the need for stronger liquidity backstops as financial markets become more market-based. A more comprehensive liquidity-safety framework could improve market resilience and support the implementation of monetary policy during periods of stress.

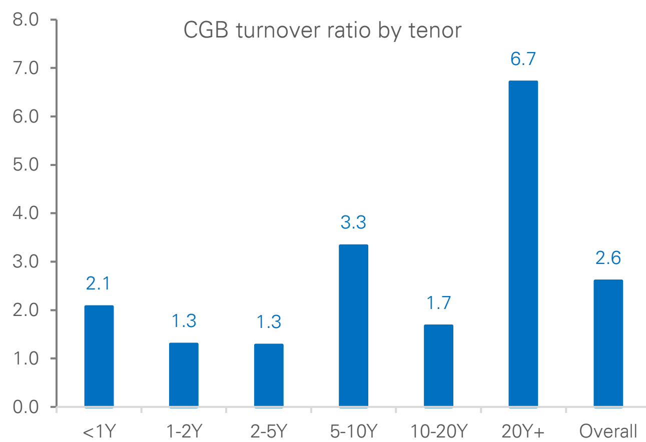
Deepening secondary bond markets to improve yield-curve transmission.China has built one of the world's largest government bond markets over the past two decades. While commercial banks continue to hold a significant share of outstanding government bonds, policymakers have also encouraged broader participation by institutional and foreign investors. As secondary-market activity continues to evolve, deeper liquidity and more active trading could further enhance the informational content of market interest rates and the role of the yield curve within the broader monetary-policy framework.

A deeper and more active government bond market would strengthen the transmission of policy expectations along the yield curve. Potential reforms include broadening participation beyond commercial banks, developing government-bond derivatives and hedging markets, improving repo and securities-lending infrastructure, strengthening market-making arrangements and enhancing transparency around issuance and liquidity operations.

These reforms would improve monetary policy transmission while strengthening the role of government bond yields as benchmarks for broader financial-market pricing.

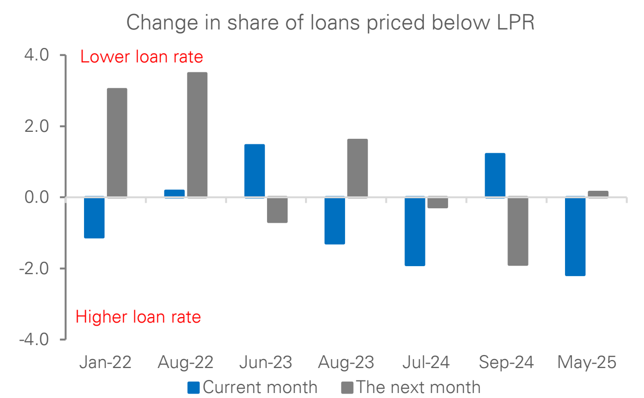
Improving liquidity circulation and credit transmission. Another area of development relates to the credit channel and the interaction between financial conditions and economic activity. While policy easing has supported ample liquidity conditions in recent years, the impact on borrowing, investment and growth can vary depending on broader economic and business conditions. China's financing system remains predominantly bank-based, with around 80% of corporate financing coming from loans, a higher share than in many major economies. Policymakers have therefore placed increasing emphasis on broadening financing channels and supporting the development of debt and equity markets alongside traditional bank lending. Consistent with this objective, PBoC Governor Pan Gongsheng in 2023 highlighted efforts to expand financing channels for private enterprises across debt, equity and bank lending. Going forward, the evolution of credit transmission is likely to reflect not only monetary-policy developments, but also broader economic conditions and structural reforms.

Figure 4: A more active bond market could support price discovery and transmission



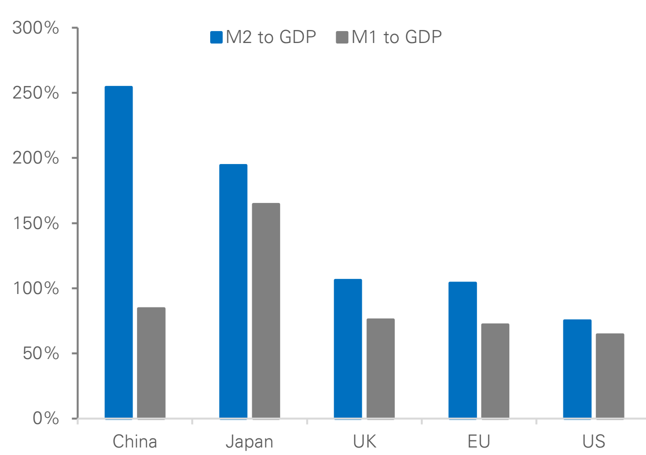
Source : Deutsche Bank Research, Wind

Figure 5: Policy-rate cuts have not always been followed by immediate declines in loan rates



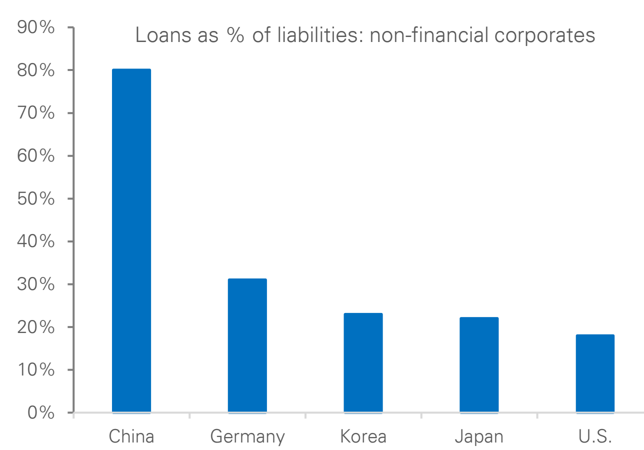
Source : Deutsche Bank Research, Wind

Figure 6: Liquidity and economic activity can diverge over time



Source : Deutsche Bank Research, Wind

Figure 7: Chinese corporates remain heavily reliant on bank-loan financing



Source : Deutsche Bank Research

Exchange-rate developments and RMB internationalization. Another area of development concerns the interaction between monetary policy, exchange rates and international financial flows. China's monetary-policy framework operates within a broader set of policy objectives, resulting in transmission dynamics that differ from those in many developed-market economies. As RMB internationalization advances and financial-market development continues, the relationship between monetary policy, capital flows and exchange-rate developments is likely to evolve further. This process will remain an important area to watch as China's financial system becomes increasingly integrated with global markets.

A modern framework, not a Western one. Ultimately, in our view, monetary policy modernization in China should not be viewed as a process of convergence towards a developed-market model. Rather, it is a process of adapting market-based monetary policy tools to China's own institutional environment. The likely end state, we believe, is a framework with a clear policy rate, deeper and more responsive financial markets, stronger policy transmission and greater transparency, while retaining broader policy objectives and strategic credit-support mechanisms. In other words, China is unlikely to become a Chinese version of the Federal Reserve. Instead, we think it is more likely to develop a modern interest-rate framework with distinctly Chinese characteristics.

Beyond monetary policy reform: A broader policy agenda

The modernization of China's monetary policy framework has brought it closer to the operational practices of many developed-market central banks. The PBoC has increasingly emphasized price-based policy instruments, strengthened its policy-rate framework, and improved the signaling and implementation of monetary policy. These developments represent an important step in the evolution of China's monetary-policy framework and should help further strengthen the role of market-based interest rates over time.

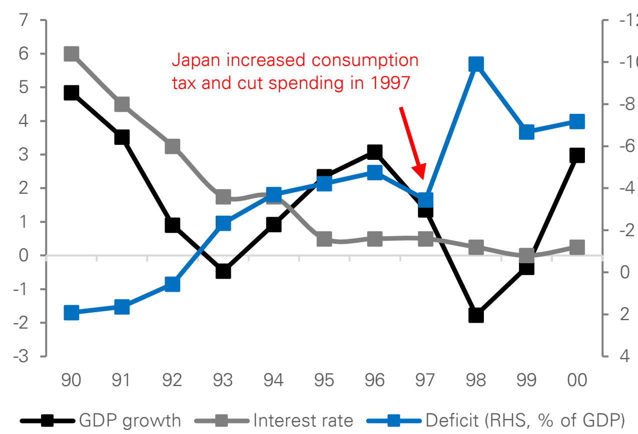
At the same time, monetary policy operates within a broader economic and financial environment. Factors such as credit demand, developments across different sectors of the economy, and ongoing adjustments in the property market can all influence how monetary-policy actions are transmitted through the economy. As a result, the evolution of monetary-policy tools is only one part of the broader policy landscape. Experience from developed economies similarly suggests that monetary policy is often most effective when supported by favorable macroeconomic and financial conditions.

More broadly, China's economic objectives are pursued through a combination of monetary, fiscal, regulatory and structural policies. We therefore view monetary-policy modernization as one component of a broader policy agenda rather than a standalone initiative. Going forward, the interaction between monetary policy and other policy measures will remain an important factor shaping economic and financial outcomes.

Monetary policy and fiscal policy interaction. The effectiveness of monetary policy is often influenced by the broader macroeconomic policy environment, including fiscal policy. Japan's experience in the late 1990s illustrates the importance of policy interaction. Despite very low interest rates and repeated monetary easing, fiscal consolidation in 1997 coincided with renewed economic weakness and a prolonged period of low inflation.

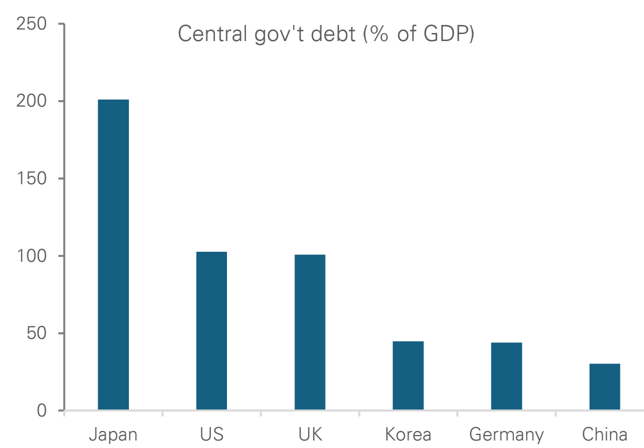
In China's case, sustaining monetary policy modernization, and potentially an easing cycle in the coming years, will need more forceful fiscal support. In recent years, policymakers have gradually expanded fiscal support while emphasizing the role of the central government in supporting economic stability. With a comparatively strong central-government balance sheet and a low-interest-rate environment (Figure 13), fiscal policy retains scope to play an important role in supporting broader macroeconomic objectives. More broadly, the interaction between monetary and fiscal policy is likely to remain an important feature of China's macroeconomic framework in the years ahead. More proactive fiscal support could help stabilize the property market, strengthen the social safety net, and support household consumption. Importantly, stronger fiscal support would complement monetary easing by generating demand for credit and investment opportunities, thereby improving the effectiveness of monetary policy itself.

Figure 8: Japan shows uncoordinated policies weaken transmission



Source : Deutsche Bank Research, Haver

Figure 9: China's central-government balance sheet remains among the strongest in the world



Source : Deutsche Bank Research, Haver, Wind

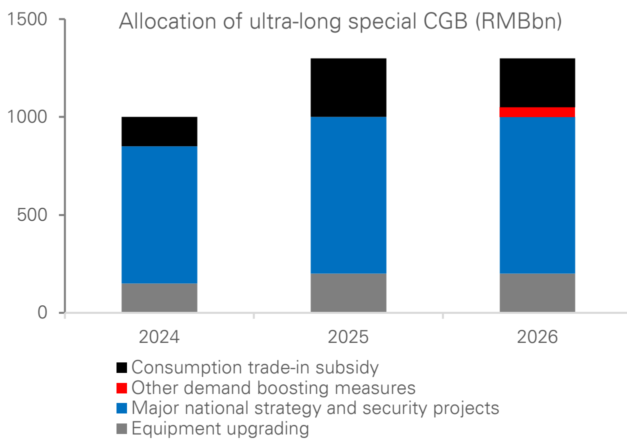
Better balancing long-term strategic priorities with near-term economic needs. China's policy agenda has increasingly emphasized long-term priorities such as technological innovation, advanced manufacturing and the development of future industries. Between 2023 and 2026, a significant share of funding raised through ultra-long-term special government bonds was directed toward these strategic objectives, highlighting policymakers' focus on enhancing long-term productivity growth and competitiveness.

At the same time, long-term development and cyclical stabilization can be mutually reinforcing. A stable macroeconomic environment can support employment, household income, business activity and investment, helping to create favorable conditions for longer-term economic upgrading. In this sense, cyclical conditions and structural transformation need not be viewed as competing objectives.

International experience suggests that strategic development policies and macroeconomic stabilization measures can coexist. South Korea, for example, has combined support for priority sectors such as semiconductors with broader macroeconomic measures aimed at maintaining economic stability during periods of cyclical weakness. More generally, a stable economic environment can provide an important foundation for investment, innovation and industrial upgrading over time.

Looking ahead, the interaction between China's long-term development objectives and broader economic conditions will remain an important theme for policymakers and markets. The pace of structural transformation, developments across key sectors of the economy, and broader macroeconomic conditions will all play a role in shaping the environment in which longer-term strategic goals are pursued.

Figure 10: Most incremental fiscal resources were allocated to strategic sectors



Source :Deutsche Bank Research, Government Work Report

Figure 11: Korea's experience shows that strategic upgrading and cyclical growth can go hand in hand

	China		Korea	
	Name	Amount	Name	Amount
Strategic and industrial policies	Major national strategy and security projects (2024–2026)	RMB2.3tn (1.6% of annual GDP)	K-Chips Act (2023)	Tax incentive (not direct spending)
	Policy financing tool to support specific strategic sectors	RMB1.3tn (0.9% of annual GDP)	Semiconductor Ecosystem Support Package (2024)	KRW26tn (1% of annual GDP)
			Chip fund (2026)	KRW5tn (0.2% of annual GDP)
Cyclical growth policies	Consumption trade-in subsidies (2024–2026)	RMB700bn (0.5% of annual GDP)	Budget expansion to boost economic activity (2025)	KRW20.2tn (0.8% of annual GDP)
	Childcare subsidies (2025–2026)	RMB180bn (0.1% of annual GDP)	Supply-shock stimulus (2026)	KRW17.3tn (0.6% of annual GDP)

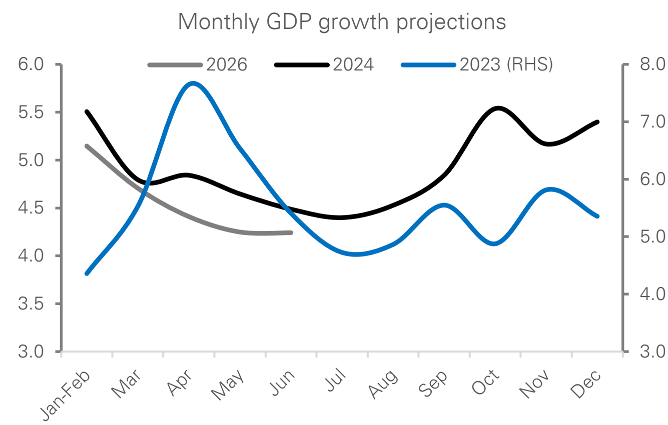
Source : Deutsche Bank Research
Note: China's strategic-sector allocation excludes investment funded by local government special bonds, which amount to around 3% of GDP annually

Proactive policy support and greater policy consistency. Expectations play an important role in shaping the effectiveness of macroeconomic policy. As such, the consistency and coordination of policy measures can influence household, business and market expectations, alongside broader economic outcomes. China's post-pandemic recovery has exhibited recurring fluctuations in growth momentum, with periods of policy support often coinciding with firmer economic activity. While policy measures have helped support activity, the consistency and persistence of policy support remain important considerations in anchoring expectations and strengthening confidence.

International experience also points to the importance of policy consistency. Japan's experience during the 1990s and 2000s demonstrated how expectations can be influenced by the interaction between monetary, fiscal and broader economic policies. Following 2013, a more coordinated policy framework was accompanied by improvements in growth, inflation and market sentiment, although external factors and global developments also played an important role.

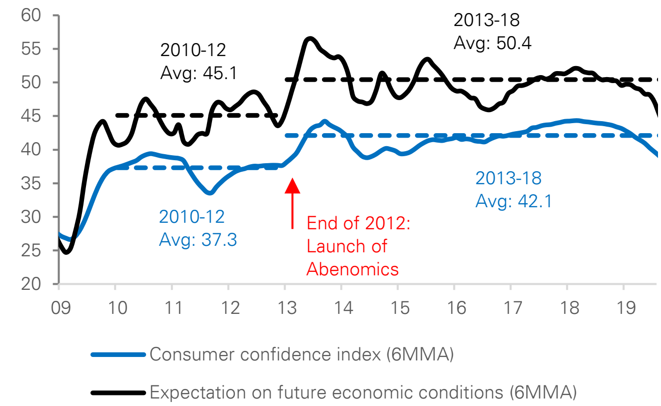
More broadly, we view the modernization of China's monetary-policy framework as an important enabling reform. A more market-based framework may further strengthen policy implementation and the role of interest rates within the financial system. At the same time, economic outcomes will continue to reflect a wide range of factors, including fiscal policy, structural developments and the broader macroeconomic environment. In this regard, the evolution of China's policy framework is likely to be shaped not only by monetary-policy reforms, but also by how different policy initiatives interact in support of longer-term economic objectives.

Figure 12: Growth cycles have highlighted the importance of policy consistency



Source : : Deutsche Bank Research, CEIC
Note: Monthly GDP growth is estimated by interpolating official GDP data based on our monthly nowcast.

Figure 13: Abenomics triggered an immediate and lasting recovery in consumer confidence



Source :Deutsche Bank Research, CEIC

Market Implications

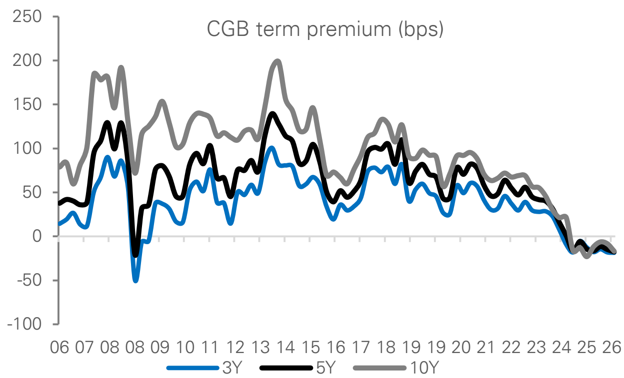
If China's monetary-policy reforms continue, they could gradually reshape the country's bond and currency markets. Over time, policy signals may become clearer, interest-rate changes may transmit more effectively through the financial system, and markets may become deeper and more responsive.

A steeper yield curve for China Government Bonds (CGBs). China's government-bond yield curve has become much flatter in recent years. This reflects both expectations that policy rates will remain low for some time and a decline in the extra compensation investors typically demand for holding longer-term bonds, known as the term premium. If monetary-policy modernization improves transmission and is supported by broader reforms, the yield curve could become steeper over time. Short-term yields could remain low if policy easing continues, while long-term yields could gradually rise as economic activity, confidence and inflation expectations strengthen.

Near-term easing, medium-term repricing higher for interest rate swaps (IRS). China's medium-term interest-rate expectations have moved lower in recent years as growth and inflation have moderated. Further policy easing could keep rates low in the near term. Over time, however, if reforms help support investment, lending and economic activity, expectations for future growth may improve. In that scenario, medium-term interest rates could gradually move higher and market pricing could become more balanced across different maturities.

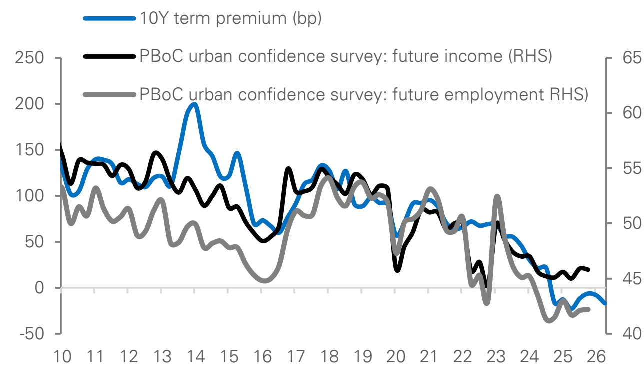
Greater volatility in RMB exchange rate. The RMB remains less volatile than many major currencies. If China continues modernizing its monetary policy framework and allows greater exchange-rate flexibility over time, the RMB could move more freely in response to economic conditions and market forces. This would likely result in greater two-way currency fluctuations while improving price discovery and supporting the development of deeper hedging and foreign-exchange markets. Given China's importance to the regional economy, greater RMB flexibility could also contribute to increased volatility in other Asian currencies that are closely linked to China through trade and financial flows.

Figure 14: CGB term premia have been declining across tenors



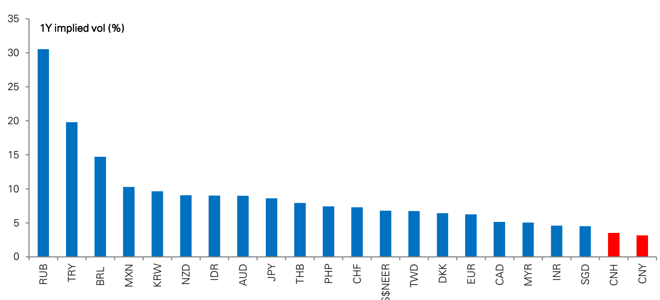
Source : Deutsche Bank Research, Bloomberg Finance LP

Figure 15: Stronger economic expectations could boost the term premium



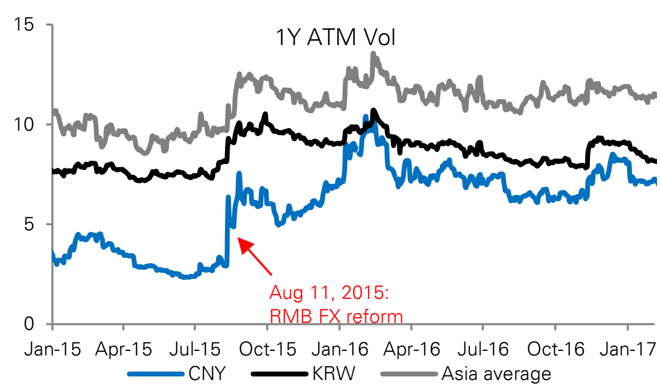
Source :Deutsche Bank Research, Bloomberg Finance LP, Wind

Figure 16: Rising RMB volatility could lift volatility across Asian FX markets



Source : Deutsche Bank Research, Bloomberg Finance LP

Figure 17: RMB FX regime change could have a significant impact on regional volatility



Source : Deutsche Bank Research, Bloomberg Finance LP

Appendix 1